



CHAPTER 13.

An Act to provide money for the defence services, and for purposes connected therewith. A.D. 1937.

[19th March 1937.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards providing such sums as may be required for the defence services, have resolved that money be provided in manner hereafter mentioned in this Act; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) During the five financial years ending on the thirty-first day of March, nineteen hundred and forty-two, the Treasury may, subject as hereafter provided, issue from time to time out of the Consolidated Fund of the United Kingdom or the growing produce thereof (hereafter referred to as "the Consolidated Fund") sums not exceeding in the aggregate four hundred million pounds, to be applied as appropriations in aid of the moneys provided by Parliament for the defence services for those years :

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money for
defence
services.

Provided that the amount so issued in respect of any service for any year shall not at any date exceed the aggregate of the amounts proposed to be so issued in

A.D. 1937. — respect of that service by the estimates upon which the House of Commons has, before that date (but whether before or after the passing of this Act), resolved to grant sums to His Majesty to defray expenses for that service for that year.

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Geo. 5. c. 37. (2) For the purpose of providing money for the issue of sums out of the Consolidated Fund under subsection (1) of this section or any part thereof or for the replacement of all or any part of any sums issued thereunder, the Treasury may from time to time, subject as hereafter provided, raise money in any manner in which they are authorised to raise money under and for the purposes of subsection (1) of section one of the War Loan Act, 1919; and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under subsection (1) of section one of that Act.

38 & 39 Vict.
c. 45. (3) The whole or any part of any surplus of income above expenditure for any financial year which would, but for this subsection, fall to be issued in the said five years out of the Consolidated Fund to the National Debt Commissioners in accordance with section five of the Sinking Fund Act, 1875, may, instead of being so issued, be used for providing money for the issue of sums under subsection (1) of this section; and no money shall be raised under the last foregoing subsection for the purpose of replacing money which has been provided by virtue of this subsection.

(4) The sums issued out of the Consolidated Fund under subsection (1) of this section shall be repaid to the Exchequer with interest in accordance with the following provisions:—

(a) in each, except the first, of the said five years, interest only shall be paid on the sums so issued before the beginning of the year in question;

(b) thereafter the whole of the sums so issued shall be repaid together with interest thereon (so far as not paid under the last foregoing paragraph) by means of thirty equal annual instalments of principal and interest combined, commencing in the financial year beginning on the first day of April, nineteen hundred and forty-two;

(c) interest payable under this subsection shall be paid at the rate of three per cent. per annum; A.D. 1937. —

(d) the sums required to be paid into the Exchequer under this subsection shall be paid, at such times and in such proportions as the Treasury may from time to time direct, out of moneys provided by Parliament for the several defence services.

(5) The sums paid into the Exchequer under the last foregoing subsection shall be issued out of the Consolidated Fund at such times as the Treasury may direct and applied by the Treasury as follows:—

(a) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit; and

(b) so much thereof as represents interest shall be applied in payment of an equivalent amount of interest which would, but for this provision, have been paid out of the permanent annual charge for the National Debt.

(6) In this section the expression “defence services” means the Navy, Army (including Royal Ordnance factories) and Air services.

2. This Act may be cited as the Defence Loans Short title. Act, 1937.

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